

California Wildfire Claims Recovery Guide

Step-by-Step Guidance for Total and Partial Wildfire Losses

By Leland Coontz
California Licensed Public Adjuster

insuranceclaimsinfo.com

Important Disclaimer

This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes. Any resemblance to specific claims or individuals is coincidental unless otherwise noted.

No part of this guide may be reproduced, distributed, or transmitted in any form without the prior written permission of the author.

© 2026 Leland Coontz. All Rights Reserved.

insuranceclaimsinfo.com

CHAPTER 1

Forest Fire vs. Urban Wildfire Smoke: Why It Matters

Not all wildfire damage is created equal, and understanding the difference between a forest fire and an urban wildfire is critical to your claim. When a wildfire burns through forested or brush areas and produces smoke that reaches your home, that smoke is composed primarily of burned vegetation — wood, leaves, grass, and soil. It is unpleasant, but its chemical composition is relatively straightforward.

When a wildfire enters an urban area and burns homes, vehicles, infrastructure, and commercial buildings, the smoke profile changes dramatically. Urban wildfire smoke contains toxins from burned plastics, electronics, synthetic building materials, asbestos, lead paint, chemical storage, vehicles, tires, and everything else that exists in a developed community. This smoke is orders of magnitude more hazardous than forest fire smoke.

Why does this matter for your insurance claim? Because the cleanup and remediation standards for urban wildfire contamination are far more rigorous and expensive than for simple forest fire smoke. A carrier that sends a crew to wipe down your surfaces with a soot sponge is not adequately addressing contamination from urban wildfire smoke. You may need environmental testing, professional hazmat-level cleaning, HVAC system decontamination, and in some cases, removal and replacement of porous materials that have absorbed toxic compounds.

Critical Distinction

If your home was affected by smoke from an urban wildfire that burned structures, demand environmental testing before accepting any carrier's 'smoke cleaning' estimate. The contamination may be far more serious than surface soot.

- Forest fire smoke: primarily organic compounds from vegetation combustion
- Urban wildfire smoke: contains heavy metals, asbestos, dioxins, VOCs, and synthetic chemicals

- Cleaning standards differ dramatically — urban wildfire contamination often requires hazmat protocols
- Environmental testing (air quality, surface wipe samples) may be necessary to determine contamination levels
- Carriers will try to apply forest fire cleanup standards to urban wildfire losses — push back

CHAPTER 2

Coverage A Through D Walkthrough for Wildfire

A standard California homeowner's policy has four main coverage categories. Understanding how each one applies to wildfire losses is essential for maximizing your recovery.

Coverage A: Dwelling

Coverage A pays for damage to the structure of your home — the building itself, including attached structures like a garage. For a total wildfire loss, Coverage A pays the full cost to rebuild your home, subject to your policy limits. For partial losses, it pays the cost to repair the damage. Key issues to watch for: carriers underestimating rebuilding costs, failing to account for current code requirements, and using pre-fire pricing in a post-disaster market where construction costs have spiked 30-50% or more.

Coverage B: Other Structures

Coverage B covers structures on your property that are not attached to the main dwelling — detached garages, sheds, fences, retaining walls, pool equipment, guest houses, and similar structures. This coverage is typically 10% of your Coverage A limit, but it can be increased by endorsement. Many policyholders forget to claim damaged fences, retaining walls, driveways, and landscaping hardscape under Coverage B.

Coverage C: Personal Property / Contents

Coverage C is for your personal belongings — furniture, clothing, electronics, appliances, and everything else inside your home. In a total wildfire loss, you must compile a complete inventory of everything you owned. This is one of the most time-consuming and emotionally difficult parts of the claim. I dedicate an entire chapter to this process later in this guide.

Coverage D: Additional Living Expenses (ALE)

Coverage D pays for the increased cost of living while you cannot occupy your home. This includes hotel or rental housing costs, restaurant meals (above what you would normally spend on food), storage fees, laundry costs, pet boarding, and other expenses that are over and above your normal living costs. In a total loss scenario, ALE can run for two years or more while your home is rebuilt.

ALE Is Broader Than You Think

Coverage D is not just for housing. It covers any reasonable increase in living expenses caused by the loss. If you normally spend \$600/month on groceries but are now spending \$1,500 because you are eating out, the \$900 difference is an ALE expense.

CHAPTER 3

Contamination Testing and Remediation Standards

After a wildfire, contamination testing is critical — especially for homes that were not destroyed but were exposed to smoke. The question is not whether your home has smoke damage, but how extensive the contamination is and what it will cost to properly remediate it.

Types of Testing

- Air quality testing — measures particulate matter and volatile organic compounds in indoor air
- Surface wipe sampling — tests specific surfaces for soot, ash, and chemical residue
- HVAC system testing — checks ductwork and components for contamination
- Insulation testing — attic and wall insulation can trap smoke particles
- Structural testing — checks for contamination in porous materials (drywall, wood framing)

Testing should be performed by a certified industrial hygienist (CIH) or environmental consultant, not by the carrier's preferred cleaning company. The carrier's cleaning vendor has a financial incentive to minimize the scope of work. An independent environmental professional has an incentive to be thorough and accurate.

Remediation Standards

Remediation standards for wildfire contamination vary depending on the type and level of contamination. At a minimum, contaminated homes typically require professional HEPA vacuuming, chemical sponge cleaning of all surfaces, HVAC system cleaning and filter replacement, and air scrubbing. For more severe contamination, the remediation

may include removal of contaminated insulation, carpet, padding, window treatments, and other porous materials that cannot be adequately cleaned.

Demand Testing First

Never accept a carrier's cleanup estimate at face value after a wildfire. Demand independent testing first. If the testing reveals contamination beyond surface soot, the carrier must pay for proper remediation — not just a surface wipe-down.

CHAPTER 4

ALE Documentation and Timeline Management

Additional Living Expenses (ALE) claims are where many wildfire survivors leave money on the table. Carriers count on policyholders being too overwhelmed to track their expenses carefully. They also count on policyholders accepting inadequate housing or cutting their ALE short to avoid the hassle. Do not fall into this trap.

What ALE Covers

- Temporary housing — hotel, short-term rental, or lease (above your normal housing cost)
- Meals and dining — the increase over your normal food budget
- Storage fees — for salvageable belongings that need to be stored during repairs
- Laundry and dry cleaning — especially during the initial displacement period
- Pet boarding or pet-friendly housing premiums
- Commuting cost increases — if your temporary housing is farther from work
- Utility cost differences — deposits and setup fees at temporary housing
- Moving costs — between temporary locations and back to your home

Documentation Best Practices

1. Keep every receipt — create a folder (physical and digital) for ALE receipts from day one
2. Track meals with a daily log — note the date, restaurant, amount, and number of people
3. Document your pre-loss monthly expenses as a baseline for comparison
4. Keep hotel and rental receipts, including reservation confirmations showing

dates and rates

5. Save gas receipts if your commute has increased
6. Photograph any temporary housing arrangements for your records
7. Submit ALE claims monthly — do not wait until the end to submit a year of expenses

Carriers will sometimes try to limit your ALE to a specific dollar amount or time period that is unrealistically short. In California, ALE continues for as long as it is reasonably necessary to repair or rebuild your home. If rebuilding takes two years, your ALE coverage should extend for two years (subject to your policy limits). Do not let the carrier pressure you into accepting a lump-sum ALE settlement unless the amount is genuinely fair.

California ALE Protections

Under California law (CCP 2051.5), after a declared disaster, ALE coverage must extend for at least 24 months from the date of the loss for total losses, and possibly longer if delays are beyond your control. Many carriers will try to cut you off at 12 months — know your rights.

CHAPTER 5

Contents Inventory for Total Losses

Compiling a contents inventory after a total wildfire loss is one of the most challenging tasks you will ever face. You are being asked to remember — and document — every single thing you owned. Every piece of furniture, every kitchen utensil, every book on the shelf, every tool in the garage, every item of clothing in every closet. It is overwhelming, and carriers know it.

Carriers benefit from your exhaustion and frustration. Every item you forget to list is money they do not have to pay. That is why a systematic approach is essential. Do not try to do this from memory in one sitting. Instead, use the room-by-room methodology described below and take it one space at a time.

Room-by-Room Methodology

Go through your home mentally, room by room, starting at the front door and working through every space including closets, the attic, the garage, and outdoor areas. For each room, work around the perimeter — what was against each wall? What was on each shelf? What was in each drawer? Use photographs, home videos, social media posts, and other visual records to trigger your memory.

Sources for Reconstruction

- Photographs and videos — check your phone, cloud storage, social media, and family members' devices
- Amazon and online shopping purchase histories — log into every retailer account you have used
- Credit card and bank statements — review years of purchase history for major items
- Home insurance applications — your original policy application may list high-value items

- Wedding, birthday, and holiday gift records
- Warranty registrations and product registration emails
- Moving company inventories from your last move
- Home improvement store purchase histories (Home Depot, Lowe's, etc.)

Keep Adding Items

The average American household contains over 300,000 items. Even with a systematic approach, you will forget things. That is okay. You can supplement your inventory as items come to mind. Do not let the carrier tell you that your inventory window has closed.

CHAPTER 6

Working with Contractors in Post-Disaster Markets

After a major wildfire, the construction market in the affected area is thrown into chaos. Demand for contractors skyrockets, supply of labor and materials is constrained, and prices increase significantly. This is the reality of a post-disaster construction market, and your insurance claim needs to reflect it.

Carriers will try to use pre-disaster pricing in their estimates. They will point to Xactimate's database and say, 'This is what the work costs.' But Xactimate's monthly updates lag behind real-time market conditions. In a post-disaster environment, the actual cost to hire a contractor can be 30-50% higher than Xactimate's published rates. You are entitled to the actual cost of repair, not a hypothetical cost based on an outdated database.

Strategies for Working with Contractors

- Get bids early — contractor availability decreases rapidly after a major fire
- Verify licenses and insurance — disaster areas attract unlicensed and uninsured contractors
- Get everything in writing — scope of work, timeline, payment schedule, and change order process
- Do not sign contracts that require large upfront payments — 10% is reasonable; 50% is not
- Document demand-surge pricing with actual bids for your carrier
- Consider contractors from outside the immediate disaster area who are willing to travel for work
- Check the Contractors State License Board (CSLB) for complaints and disciplinary actions

Demand Surge Is Real

California Business and Professions Code Section 7099.2 prohibits contractors from charging unconscionable prices after a declared emergency, but 'unconscionable' is not the same as 'pre-disaster.' Legitimate demand-surge pricing is not price gouging — it reflects real market conditions. Your carrier must pay the real cost, not the pre-disaster cost.

CHAPTER 7

California Regulatory Protections After Declared Disasters

California provides some of the strongest regulatory protections for policyholders in the nation, and these protections are enhanced after the Governor declares a state of emergency. Understanding these protections is essential to ensuring your carrier treats you fairly.

Key Regulatory Protections

1. **Non-Renewal Moratorium:** After a declared disaster, carriers cannot non-renew policies in the affected area for one year (Insurance Code Section 675.1). The CDI can extend this to two years.
2. **Extended Deadlines:** Carriers must grant reasonable extensions for submitting proofs of loss and documentation after a declared disaster.
3. **ALE Extension:** ALE coverage must extend for at least 24 months for total losses after a declared disaster, and may be extended further if delays are beyond the policyholder's control.
4. **Contents Replacement:** Under SB 49, after a declared disaster, carriers must allow policyholders to collect the full replacement cost on contents claims without requiring proof of actual replacement.
5. **Contractor Choice:** You have the right to use any licensed contractor — the carrier cannot require you to use their preferred vendor program.
6. **Advance Payments:** Carriers should issue advance payments on undisputed portions of the claim within 30 days of the proof of loss.
7. **Prohibited Lowball Practices:** Carriers cannot use the disaster as a pretext for offering unreasonably low settlements — the Fair Claims Settlement Practices Regulations (10 CCR 2695) still apply.

Use the CDI

The California Department of Insurance (CDI) becomes much more active after declared disasters. File a complaint with CDI if your carrier is violating any of these protections. Complaints can be filed online at insurance.ca.gov.

CHAPTER 8

The FAIR Plan and DIC Policies

The California FAIR Plan (Fair Access to Insurance Requirements) is the state's insurer of last resort for property owners who cannot obtain coverage in the private market. As wildfire risk has increased in California, more and more homeowners are being forced onto the FAIR Plan — particularly in wildfire-prone areas where private carriers have non-renewed policies en masse.

The FAIR Plan provides fire insurance, but it is basic coverage. It does not include liability, theft, or many of the endorsements that come standard with a typical homeowner's policy. To fill the gaps, many FAIR Plan policyholders purchase a DIC (Difference in Conditions) policy from a private carrier. The DIC policy wraps around the FAIR Plan policy and provides coverage for perils and loss categories that the FAIR Plan does not cover.

FAIR Plan Claim Challenges

- FAIR Plan limits are often insufficient for total rebuilds — make sure your limits are adequate
- FAIR Plan claims processing is slower than private carriers — plan for delays
- DIC coordination can be complicated — the FAIR Plan pays first, then the DIC fills gaps
- Understand which coverage (FAIR Plan or DIC) applies to each category of loss
- Keep both insurers informed throughout the claim — do not assume they communicate with each other
- If your FAIR Plan limits are exhausted, the DIC policy may provide additional dwelling coverage

Coordinate Both Policies

If you have both a FAIR Plan policy and a DIC policy, treat them as separate claims that must be coordinated. File with both carriers simultaneously. Do not wait for one to pay before filing with

the other. Time is critical.

CHAPTER 9

The Smoke Damage Recovery Act

In response to the increasing frequency and severity of California wildfires, the legislature has enacted several bills addressing smoke damage claims. These legislative actions recognize that smoke damage — even without direct fire contact — can cause significant harm to homes and their occupants.

The key provisions affecting policyholders include expanded definitions of covered smoke damage, requirements for carriers to provide smoke testing when requested by the policyholder, and prohibitions on carriers denying smoke damage claims based solely on the absence of direct flame contact with the property. These provisions recognize the reality that homes miles from the fire line can sustain significant smoke contamination.

Policyholder Rights Under Smoke Damage Legislation

- You have the right to request environmental testing for smoke contamination at the carrier's expense
- Carriers cannot deny smoke damage claims solely because the fire did not directly reach your property
- Smoke damage coverage includes both structural damage and health hazard contamination
- You may be entitled to ALE if smoke contamination renders your home uninhabitable during remediation
- Contents damaged by smoke — including soft goods, fabrics, and electronics — are covered losses
- The carrier must pay for remediation to a safe standard, not merely a cosmetically acceptable standard

If your home sustained smoke damage from a wildfire, document everything from day one. Photograph the smoke residue. Save samples of soot and ash. Keep windows and doors closed until testing is performed. And most importantly, do not let the carrier's

cleaning crew start work before independent testing establishes the baseline contamination levels. Once the evidence is cleaned up, it is gone.

Preserve the Evidence

Take photographs and video of smoke damage immediately — before any cleaning. Visible soot on surfaces, discoloration on walls, ash accumulation on exterior surfaces, and the smell of smoke are all evidence that should be documented before it is removed.

CHAPTER 10

Rebuilding After Total Loss: The Extended Replacement Cost Provision

If your home was a total loss in a wildfire, one of the most important policy provisions you need to understand is Extended Replacement Cost (ERC). Most California homeowner's policies include ERC coverage, which provides additional coverage — typically 25% to 50% above your Coverage A limit — if the actual cost to rebuild exceeds your stated policy limits.

Here is why this matters: after a major wildfire, construction costs in the affected area spike dramatically. Demand for contractors, laborers, and materials surges while supply is constrained. A home that would have cost \$400,000 to build before the fire may cost \$550,000 or more to rebuild in the post-disaster market. If your Coverage A limit is \$400,000, your ERC provision may give you an additional \$100,000 to \$200,000 to cover the gap.

There are conditions you must meet to trigger ERC. Most policies require that you actually rebuild on the same site or within the same county. Some policies require that you rebuild a home of the same size and quality. You must also incur the additional cost — the carrier will not just hand you a check for the ERC amount. You need to demonstrate that the actual rebuilding cost exceeds your Coverage A limit.

Know Your ERC

Check your declarations page for Extended Replacement Cost coverage. Know the percentage (25%, 50%, etc.) and any conditions for triggering it. After a total loss, ERC can mean the difference between a home that is fully rebuilt and one that is not.

The Code Upgrade Wildcard

In addition to ERC, your Ordinance or Law coverage (sometimes called Coverage E or an endorsement) pays for the cost of bringing your rebuilt home into compliance with current building codes. After a total loss, code upgrade costs can be enormous. Homes

built 20 or 30 years ago were built to codes that are now significantly outdated. Modern codes require upgraded electrical panels, enhanced fire resistance, seismic retrofitting, energy efficiency measures, and much more.

Ordinance or Law coverage typically has three components: Coverage A pays for the increased cost of construction to comply with current codes. Coverage B pays for the cost to demolish the undamaged portion of the building (if applicable). Coverage C pays for the loss in value of the undamaged portion that must be demolished. In a total wildfire loss, all three components may apply.

CHAPTER 11

Debris Removal: The Hidden Six-Figure Cost

After a total wildfire loss, one of the first — and most expensive — steps in the recovery process is debris removal. The charred remains of your home, foundation, vehicles, trees, and personal property must be removed before rebuilding can begin. This is not a minor expense. In recent California wildfires, debris removal costs have ranged from \$50,000 to over \$200,000 per lot, depending on the size of the home, the presence of hazardous materials, and the accessibility of the site.

Your policy includes coverage for debris removal, but the limits may be insufficient. Most policies include debris removal as part of the Coverage A limit or provide a separate sublimit (often 5% of Coverage A). After a declared disaster, the government may provide debris removal through FEMA and CalRecycle programs, but there can be trade-offs — government debris removal programs sometimes require you to waive your right to pursue private debris removal under your insurance policy.

Government vs. Private Debris Removal

- Government programs (Right-of-Entry) are typically free to the homeowner and funded by FEMA/CalOES
- Government debris removal may be slower due to the scale of the operation
- Private debris removal gives you more control over the timeline and the contractor
- If you opt out of the government program, your insurance must cover the cost
- Some policies have insufficient debris removal limits — check before making a decision
- Government programs may not remove all debris (e.g., they may leave the concrete foundation slab)
- Consult with your public adjuster or attorney before signing any Right-of-Entry

agreement

Right-of-Entry Decision

Do not sign a government Right-of-Entry agreement without understanding the implications for your insurance claim. In some cases, the government program is the better choice. In others, private debris removal gives you more flexibility and better results. Get professional advice first.

CHAPTER 12

The Emotional Toll: Protecting Your Mental Health

I include this chapter because it is real, it is important, and nobody else is going to tell you about it. Losing your home to a wildfire is one of the most traumatic experiences a person can go through. The combination of grief, displacement, financial stress, and the exhausting process of dealing with your insurance company takes a serious toll on mental health.

I have seen policyholders give up on legitimate claims because they are simply too exhausted to fight. I have seen families accept settlements worth half of what they are owed because they cannot bear to spend one more day dealing with the carrier. The insurance industry knows this — they count on it. Delay is a strategy precisely because it wears people down.

So here is my advice: take care of yourself first. Accept help from friends, family, community organizations, and mental health professionals. Hire a public adjuster or attorney to handle the insurance fight so you can focus on your family and your recovery. The fee you pay a professional is worth it if it means you actually receive what you are owed — and you preserve your sanity in the process.

Resources for Wildfire Survivors

- California Department of Insurance Wildfire Hotline — call for help with claim disputes
- FEMA Disaster Assistance — financial assistance, temporary housing, and other programs
- Local community organizations — many communities set up recovery centers after major fires
- United Policyholders (uphelp.org) — nonprofit that helps disaster survivors navigate insurance claims
- Mental health services — many communities offer free counseling for disaster

survivors

- Legal aid organizations — free or low-cost legal help for disaster-related issues

You Do Not Have to Do This Alone

You did not cause this disaster, and you should not have to fight your own insurance company to recover from it. If the process feels overwhelming, that is normal. Get help. A licensed public adjuster works for you — not the insurance company — and handles the entire claim so you do not have to.

CHAPTER 13

Landscaping and Hardscape Recovery

After a wildfire, many policyholders focus on the house and forget about the landscaping and hardscape. Mature trees, custom landscaping, irrigation systems, retaining walls, driveways, patios, fences, and walkways can represent tens of thousands of dollars in value. Your policy may cover some or all of these losses under Coverage B (Other Structures) or through specific landscaping endorsements.

Most standard policies include limited coverage for trees, shrubs, and other plants — typically 5% of the Coverage A limit, with a per-item cap (often \$500 per tree or plant). While this is inadequate for mature specimen trees or custom landscaping, it is still money you are owed. Do not leave it on the table.

Commonly Overlooked Landscaping Items

- Mature trees — even at the \$500 per-tree cap, 20 trees is \$10,000
- Shrubs, hedges, and ornamental plants — document every plant you can remember
- Irrigation systems — including pipes, sprinkler heads, valves, timers, and controllers
- Retaining walls — these can be extremely expensive to replace, especially on hillside lots
- Fencing — wood, vinyl, wrought iron, chain link — measure the linear footage
- Driveways and walkways — concrete, pavers, asphalt, and gravel surfaces
- Outdoor lighting — landscape lighting, post lights, and wiring
- Patios and decks — including any built-in features like pergolas, arbors, or built-in seating
- Outdoor kitchens and barbecue islands — these can be worth \$10,000 to \$50,000 or more
- Swimming pools and spas — including equipment, covers, fencing, and decking

Do Not Forget Coverage B

Coverage B (Other Structures) is typically 10% of your Coverage A limit. This covers detached garages, sheds, fences, retaining walls, and hardscape. For a home with \$500,000 in Coverage A, that is \$50,000 in Coverage B. Make sure you are claiming everything that falls under this coverage.

CHAPTER 14

Tax Implications of Wildfire Insurance Payments

Insurance claim payments for property damage are generally not taxable income. When you receive a payment from your carrier to repair or replace your home, that payment is not income — it is reimbursement for a loss. However, there are important exceptions and considerations you need to understand.

Key Tax Considerations

- Insurance proceeds that exceed your adjusted basis in the property may trigger a taxable gain
- If you do not rebuild or use the funds to purchase a replacement property, you may owe capital gains tax
- Federal tax law (IRC Section 1033) allows you to defer gain if you invest the proceeds in similar property
- The replacement period for federally declared disasters is typically 4 years from the end of the tax year
- California may extend the replacement period beyond the federal deadline — check current state law
- ALE payments are generally not taxable because they reimburse actual expenses, not income
- Any payments for emotional distress or punitive damages (from a bad faith lawsuit) are taxable
- Casualty loss deductions on your federal return may reduce your tax liability

Consult a tax professional — preferably a CPA or tax attorney with experience in casualty losses and insurance claim taxation. The tax implications of a total wildfire loss can be complex, especially if your insurance proceeds exceed your basis in the property or if you decide not to rebuild in the same location. A few hundred dollars spent on tax

advice can save you thousands in unnecessary tax payments.

Keep Tax Records

Keep records of every insurance payment you receive and every dollar you spend on rebuilding. You will need this documentation for your tax return. Your CPA will need to know the total amount received from the carrier, the total amount spent on rebuilding, and the timing of both.

CHAPTER 15

Wildfire Recovery Timeline and Checklist

Use this timeline as a general guide to the wildfire recovery process. Every claim is different, but this gives you a framework for what to expect and when.

Week 1: Immediate Actions

1. Ensure the safety of your family — do not return to the property until authorities say it is safe
2. Contact your insurance carrier to report the loss
3. Begin documenting your contents inventory from memory while details are fresh
4. Contact FEMA and register for disaster assistance
5. Gather important documents — insurance policy, identification, financial records
6. Find temporary housing and begin tracking ALE expenses
7. Take photographs of the property from the public right-of-way if accessible

Weeks 2-4: Initial Claim Setup

1. Meet with the carrier's adjuster for the initial inspection (bring your own representative if possible)
2. Begin the formal contents inventory using the room-by-room methodology
3. Obtain certified copies of important documents (birth certificates, titles, etc.)
4. Research contractors and begin getting rebuilding estimates
5. Contact a public adjuster for a free consultation on your claim
6. Set up a filing system for all claim-related documents
7. Apply for any available government assistance programs

Months 1-3: Claim Development

1. Submit your contents inventory (you can supplement later)
2. Review the carrier's initial estimate and identify deficiencies
3. Submit your first supplement with supporting documentation
4. Secure stable temporary housing if not already done
5. Submit monthly ALE claims with receipts
6. Begin architectural and engineering work for rebuilding plans
7. Decide on government vs. private debris removal

Months 3-12: Active Claim Management

1. Continue submitting ALE claims monthly
2. Continue supplementing your contents inventory as you remember items
3. Push for resolution of disputed items — supplement, appraisal, or escalation
4. Finalize rebuilding plans and obtain permits
5. Begin construction when insurance funds are sufficient
6. Monitor the carrier's compliance with regulatory deadlines
7. File CDI complaints for any regulatory violations

Year 1-2+: Rebuilding and Final Settlement

1. Manage the construction process (or hire a project manager to do so)
2. Submit change orders and additional supplements as construction reveals hidden issues
3. Collect recoverable depreciation as construction milestones are completed
4. Finalize the contents claim and collect any remaining recoverable depreciation
5. Close out the ALE claim when you move back into your home
6. Review the entire claim file for any unpaid items before signing a final release
7. Consult with an attorney about bad faith if the carrier's conduct warrants it

Never Sign a Release Early

Do NOT sign a final release until you are 100% certain that every aspect of your claim has been resolved. A final release typically waives all future claims related to the loss. Once you sign it, you cannot go back for more money even if you discover additional damage or costs.

Need Help With Your Claim?

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy.

Visit: insuranceclaimsinfo.com

Free resources, guides, and expert help for policyholders

Leland Coontz

California Licensed Public Adjuster